

HS 538: Development Economics

Course Code	HS 538
Course Name	Development Economics
L-T-P-C	3-0-0-3
Prerequisites	None
Intended for	Ph.D/Masters/B.Tech. (3rd and 4th year)
Distribution	Discipline Elective for M.A. Development Studies, HSS Free Elective for B. Tech. and Free Elective for others
Approval	31st BoA (Sep 2019); 23rd Senate (Oct 2019)

Course Contents

- Module I: **Introduction** Distinction between growth and development; Paradigms of development; Development indicators to sustainable development indicators and comparison of countries with respect to sustainable development indicators; a brief journey from growth economics to sustainable development. [3 Lectures]
- Module II: **Theories of Economic Growth and Development** Historical legacies, economic growth and development: A brief overview of Adam Smith's Theory, Richardian Theory, Malthusian Theory, Mills Theory, Classical, Marxian and Schumpeterian theories of economic development, Stages of Growth: Rostow and Marx; The Big-push Theory; Critical Minimum Effort; Low Level Equilibrium Trap; Lewis and Ranis Fei models of economic development, Harrod-Domar model; Kaldor model of growth; Model of Capital Accumulation; Nurkse's theory of disguised unemployment as a saving potential; Neoclassical growth models: Solow-Swan Model (problem of dynamic inefficiency), steady state equilibrium, transitional dynamics; Ramsey-Cass-Koopmans (infinite horizon optimal growth framework); Samuelson-Diamond model (overlapping generations framework); Technological progress and total factor productivity growth; Introduction to sustainable development models, approaches and operational principles of sustainable development. [18 Lectures]
- Module III: **Issues of Development** Poverty and Inequality; Demography; Migration; Human Capital and Economic Development; Sectoral development; Trade and development; Foreign investment, Aid, and Conflict. [15 Lectures]
- Module IV: **Concepts and Tools in use for Developmental Project Evaluation** Project evaluation and cost benefit analysis; concepts of investment and cost benefit analysis for environmental projects; Input-Output Table; Investment criteria in economic development, concept of Capital-Output Ratio; Shadow prices; Introduction to model estimation. [6 Lectures]

Text Books

1. Todaro, Michael P. and Stephen C. Smith, **Economic Development**, Pearson Education, 2015.
2. Thirlwall, A.P., **Growth and Development**, Palgrave MacMillan, 2011.

References

1. Meier, Gerald M. and James E. Rauch, **Leading issues in Economic Development**, Oxford University Press, 2005.
2. Ray, D., **Development Economics**, Oxford University Press, 1998.
3. Lipsey, R. G. and K. A. Chrystal, **Economics**, Oxford University Press, 2007.
4. Basu, K. **Analytical Development Economics: The Less Developed Economy Revisited**, Oxford University Press, 2003.
5. Sachs, J., **The Age of Sustainable Development**, Chapter 14: Sustainable Development Goals. Columbia University Press, 2015.
6. Hanley, N., Shogren, F and White, B., **Environmental Economics: In Theory and Practice**, Chapter 14: The Economics of Sustainable Development, Macmillan, 2008.